

Economic activity in the **manufacturing sector** expanded in September for the 33rd consecutive month, and the overall economy grew for the 76th consecutive month, say the nation's supply executives in the latest **Manufacturing ISM® Report On Business®**.

The September PMI® registered 50.2 percent, a decrease of 0.9 percentage point from the August reading of 51.1 percent. The New Orders Index registered 50.1 percent, a decrease of 1.6 percentage points from the reading of 51.7 percent in August. The Production Index registered 51.8 percent, 1.8 percentage points below the August reading of 53.6 percent. The Employment Index registered 50.5 percent, 0.7 percentage point below the August reading of 51.2 percent. Backlog of Orders registered 41.5 percent, a decrease of 5 percentage points from the August reading of 46.5 percent. The Prices Index registered 38.0 percent, a decrease of 1 percentage point from the August reading of 39.0 percent, indicating lower raw materials prices for the 11th consecutive month. The New Export Orders Index registered 46.5 percent, the same reading as in August. Of the 18 manufacturing industries, seven are reporting growth in September in the following order: Printing & Related Support Activities; Textile Mills; Furniture & Related Products; Food, Beverage & Tobacco Products; Miscellaneous Manufacturing‡; Paper Products; and Nonmetallic Mineral Products. **ISM**

PMI® at 50.2%

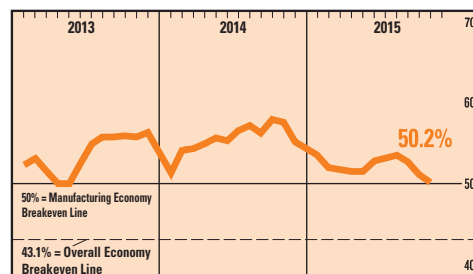
New Orders, Production, and Employment Growing; Supplier Deliveries Slower; Inventories Contracting

Manufacturing at a Glance

INDEX	Sep Index	Aug Index	% Point Change	Direction	Rate of Change	Trend* (months)
PMI®	50.2	51.1	-0.9	Growing	Slower	33
New Orders	50.1	51.7	-1.6	Growing	Slower	34
Production	51.8	53.6	-1.8	Growing	Slower	37
Employment	50.5	51.2	-0.7	Growing	Slower	5
Supplier Deliveries	50.2	50.7	-0.5	Slowing	Slower	2
Inventories	48.5	48.5	0	Contracting	Same	3
Customers' Inventories	54.5	53.0	+1.5	Too High	Faster	2
Prices	38.0	39.0	-1.0	Decreasing	Faster	11
Backlog of Orders	41.5	46.5	-5.0	Contracting	Faster	4
Exports	46.5	46.5	0	Contracting	Same	4
Imports	50.5	51.5	-1.0	Growing	Slower	32
Overall Economy				Growing	Slower	76
Manufacturing Sector				Growing	Slower	33

*Number of months moving in current direction.

Manufacturing ISM® Report On Business® data is seasonally adjusted for the New Orders, Production, Employment and Supplier Deliveries Indexes.



PMI®

Manufacturing expanded in September as the PMI® registered 50.2 percent, a decrease of 0.9 percentage point from the August reading of 51.1 percent. A PMI® in excess of 43.1 percent, over a period of time, generally indicates an expansion of the overall economy. Therefore, the September PMI® indicates growth for the

76th consecutive month in the overall economy, and indicates expansion in the manufacturing sector for the 33rd consecutive month.

Commodities Reported

Commodities Up in Price: Aluminum*; and Steel*.

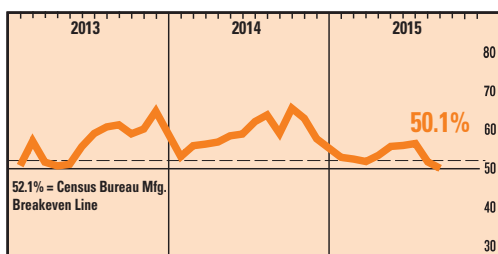
Commodities Down in Price: Aluminum (10)*; Copper (3); Corn; HDPE Resin (2); Nickel (3); Oil (2); Plastic Products (2); Resins; Stainless Steel (11); and Steel (3)*.

Commodities in Short Supply: None (2).

Note: The number of consecutive months the commodity is listed is indicated after each item.

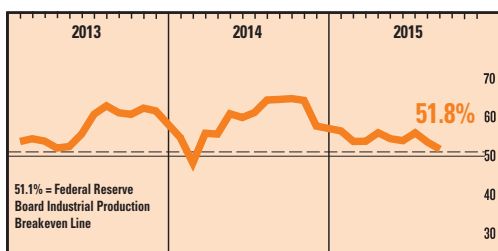
*Reported as both up and down in price.

‡Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



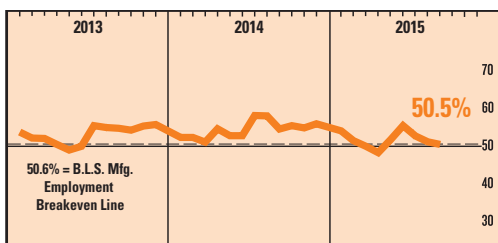
New Orders

ISM's New Orders Index registered 50.1 percent. The seven industries reporting growth in new orders in September — listed in order — are: Printing & Related Support Activities; Textile Mills; Furniture & Related Products; Food, Beverage & Tobacco Products; Plastics & Rubber Products; Chemical Products; and Miscellaneous Manufacturing[‡].



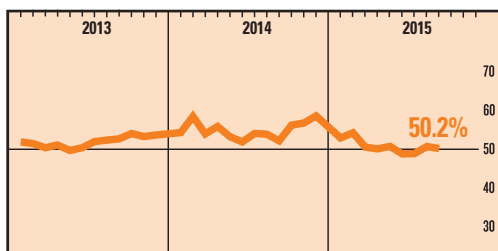
Production

ISM's Production Index registered 51.8 percent. The nine industries reporting growth in production during the month of September — listed in order — are: Printing & Related Support Activities; Nonmetallic Mineral Products; Furniture & Related Products; Food Beverage & Tobacco Products; Miscellaneous Manufacturing[‡]; Paper Products; Plastics & Rubber Products; Chemical Products; and Fabricated Metal Products.



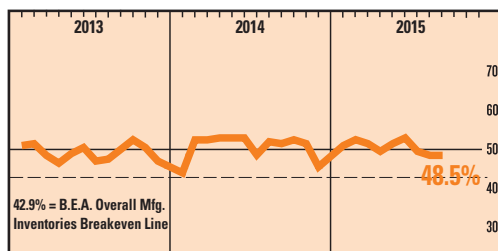
Employment

ISM's Employment Index registered 50.5 percent. Of the 18 manufacturing industries, in September, eight industries reported employment growth in the following order: Printing & Related Support Activities; Furniture & Related Products; Paper Products; Nonmetallic Mineral Products; Machinery; Food, Beverage & Tobacco Products; Transportation Equipment; and Miscellaneous Manufacturing[‡].



Supplier Deliveries

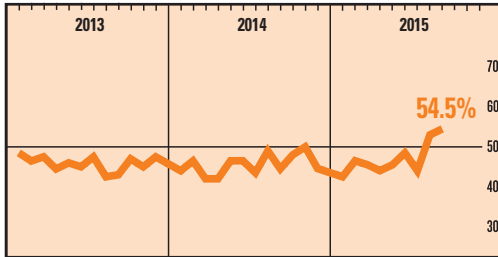
The delivery performance of suppliers to manufacturing organizations was slower in September, as the Supplier Deliveries Index registered 50.2 percent. The five industries reporting slower supplier deliveries in September are: Textile Mills; Food, Beverage & Tobacco Products; Electrical Equipment, Appliances & Components; Primary Metals; and Miscellaneous Manufacturing[‡].



Inventories

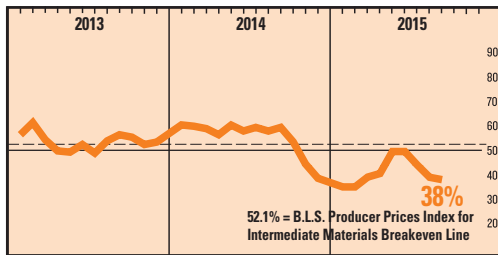
The Inventories Index registered 48.5 percent. The six industries reporting higher inventories in September — listed in order — are: Textile Mills; Apparel, Leather & Allied Products; Transportation Equipment; Paper Products; Miscellaneous Manufacturing[‡]; and Food, Beverage & Tobacco Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



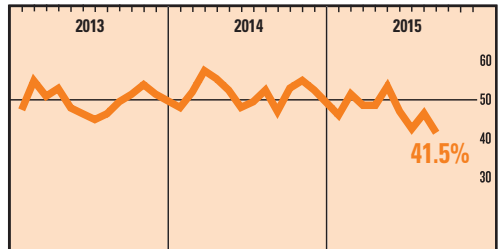
Customers' Inventories

ISM's Customers' Inventories Index registered 54.5 percent. The nine manufacturing industries reporting customers' inventories as being too high during the month of September — listed in order — are: Primary Metals; Furniture & Related Products; Nonmetallic Mineral Products; Chemical Products; Computer & Electronic Products; Fabricated Metal Products; Food, Beverage & Tobacco Products; Machinery; and Transportation Equipment.



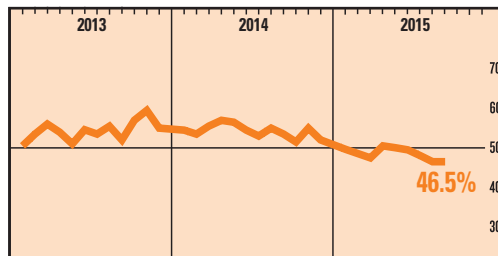
Prices

The ISM Prices Index registered 38 percent in September, which is 1 percentage point lower than in August, indicating a decrease in raw materials prices for the 11th consecutive month. Of the 18 manufacturing industries, no industries are reporting paying increased prices for their raw materials in September.



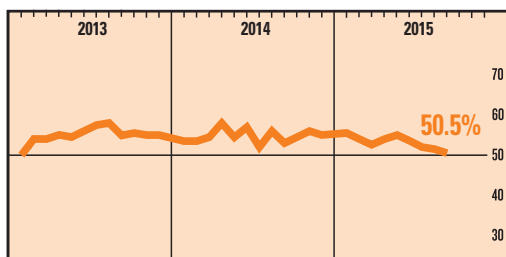
Backlog of Orders

ISM's Backlog of Orders Index registered 41.5 percent in September, a decrease of 5 percentage points as compared to the August reading of 46.5 percent. The only industry reporting an increase in order backlogs in September is Furniture & Related Products.



New Export Orders

ISM's New Export Orders Index registered 46.5 percent. The five industries reporting growth in new export orders in September are: Furniture & Related Products; Nonmetallic Mineral Products; Miscellaneous Manufacturing[‡]; Chemical Products; and Fabricated Metal Products.



Imports

ISM's Imports Index registered 50.5 percent. The six industries reporting growth in imports during the month of September — listed in order — are: Textile Mills; Furniture & Related Products; Plastics & Rubber Products; Machinery; Computer & Electronic Products; and Chemical Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).